

Customer Shopping Behavior Analysis

1. Project Overview

This project analyzes customer shopping behavior using transactional data from 3,900 purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions.

2. Dataset Summary

- Rows: 3,900
- Columns: 18
- Key Features:
 - Customer demographics (Age, Gender, Location, Subscription Status)
 - Purchase details (Item Purchased, Category, Purchase Amount, Season, Size, Color)
 - Shopping behavior (Discount Applied, Promo Code Used, Previous Purchases, Frequency of Purchases, Review Rating, Shipping Type)
- Missing Data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- **Data Loading:** Imported the dataset using `pandas`.
- **Initial Exploration:** Used `df.info()` to check structure and `.describe()` for summary statistics.

	Customer ID	Age	Gender	Item Purchased	Category	Purchase Amount (USD)	Location	Size	Color	Season	Review Rating	Subscription Status	Shipping Type	Discount Applied
count	3900.000000	3900.000000	3900	3900	3900	3900.000000	3900	3900	3900	3900	3863.000000	3900	3900	3900
unique	NaN	NaN	2	25	4	NaN	50	4	25	4	NaN	2	6	1
top	NaN	NaN	Male	Blouse	Clothing	NaN	Montana	M	Olive	Spring	NaN	No	Free Shipping	1
freq	NaN	NaN	2652	171	1737	NaN	96	1755	177	999	NaN	2847	675	22
mean	1950.500000	44.068462	NaN	NaN	NaN	59.764359	NaN	NaN	NaN	NaN	3.750065	NaN	NaN	NaN
std	1125.977353	15.207589	NaN	NaN	NaN	23.685392	NaN	NaN	NaN	NaN	0.716983	NaN	NaN	NaN
min	1.000000	18.000000	NaN	NaN	NaN	20.000000	NaN	NaN	NaN	NaN	2.500000	NaN	NaN	NaN
25%	975.750000	31.000000	NaN	NaN	NaN	39.000000	NaN	NaN	NaN	NaN	3.100000	NaN	NaN	NaN
50%	1950.500000	44.000000	NaN	NaN	NaN	60.000000	NaN	NaN	NaN	NaN	3.800000	NaN	NaN	NaN
75%	2925.250000	57.000000	NaN	NaN	NaN	81.000000	NaN	NaN	NaN	NaN	4.400000	NaN	NaN	NaN
max	3900.000000	70.000000	NaN	NaN	NaN	100.000000	NaN	NaN	NaN	NaN	5.000000	NaN	NaN	NaN

Discount Applied	Promo Code Used	Previous Purchases	Payment Method	Frequency of Purchases
3900	3900	3900.000000	3900	3900
2	2	NaN	6	7
No	No	NaN	PayPal	Every 3 Months
2223	2223	NaN	677	584
NaN	NaN	25.351538	NaN	NaN
NaN	NaN	14.447125	NaN	NaN
NaN	NaN	1.000000	NaN	NaN
NaN	NaN	13.000000	NaN	NaN
NaN	NaN	25.000000	NaN	NaN
NaN	NaN	38.000000	NaN	NaN
NaN	NaN	50.000000	NaN	NaN

- **Missing Data Handling:** Checked for null values and imputed missing values in the **Review Rating** column using the median rating of each product category.
- **Column Standardization:** Renamed columns to **snake case** for better readability and documentation.
- **Feature Engineering:**
 - Created **age_group** column by binning customer ages.
 - Created **purchase_frequency_days** column from purchase data.
- **Data Consistency Check:** Verified if **discount_applied** and **promo_code_used** were redundant; dropped **promo_code_used**.
- **Database Integration:** Connected Python script to PostgreSQL and loaded the cleaned DataFrame into the database for SQL analysis.

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in OracleSQL to answer key business questions:

1. **Revenue by Gender** – Compared total revenue generated by male vs. female customers.

	GENDER	REVENUE
1	Male	157890
2	Female	75191

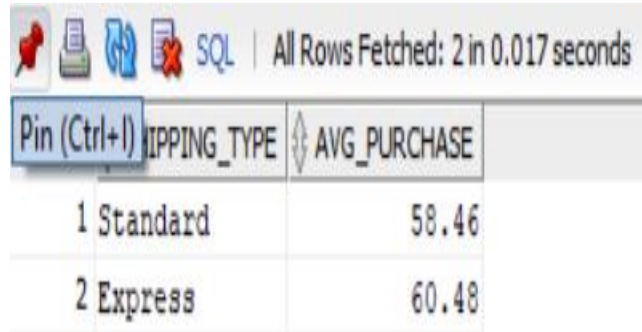
2. **High-Spending Discount Users** – Identified customers who used discounts but still spent above the average purchase amount.

SQL Fetched 750 rows in 0.106 seconds		
	CUSTOMER_ID	PURCHASE_AMOUNT
4	64	79
5	65	83
6	67	94
7	70	70
8	74	85
9	76	85
10	79	91
11	80	96
12	81	72
13	82	96
14	86	95
15	90	83
16	92	99
17	93	87
18	94	62
19	95	76
20	96	100
21	97	73
22	98	92
23	99	67
24	100	66

3. **Top 5 Products by Rating** – Found products with the highest average review ratings.

SQL All Rows Fetched: 5 in 0.054 seconds		
	ITEM_PURCHASED	AVG_RATING
1	Gloves	3.86
2	Sandals	3.84
3	Boots	3.82
4	Hat	3.8
5	Handbag	3.78

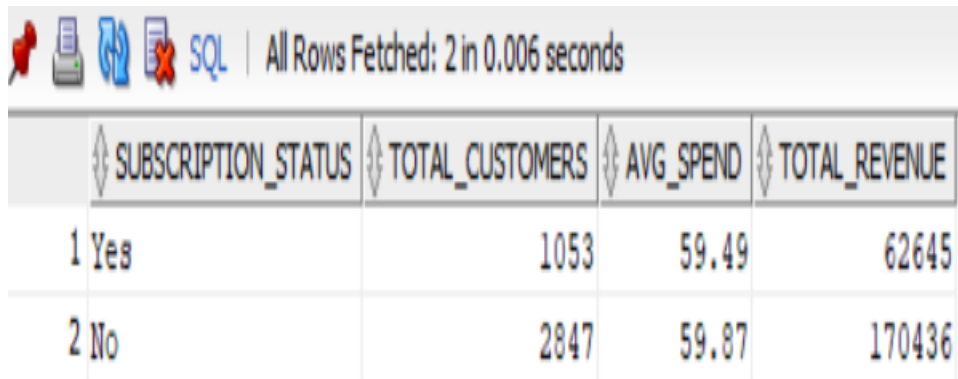
4. **Shipping Type Comparison** – Compared average purchase amounts between Standard and Express shipping.



A screenshot of a data table interface. At the top, there is a toolbar with icons for pinning, saving, refreshing, and deleting, followed by a text label 'SQL' and a status message 'All Rows Fetched: 2 in 0.017 seconds'. Below the toolbar is a table with two columns: 'SHIPPING_TYPE' and 'AVG_PURCHASE'. The first row shows '1 Standard' with an average purchase of 58.46. The second row shows '2 Express' with an average purchase of 60.48. A 'Pin (Ctrl+I)' button is visible over the first row.

SHIPPING_TYPE	AVG_PURCHASE
1 Standard	58.46
2 Express	60.48

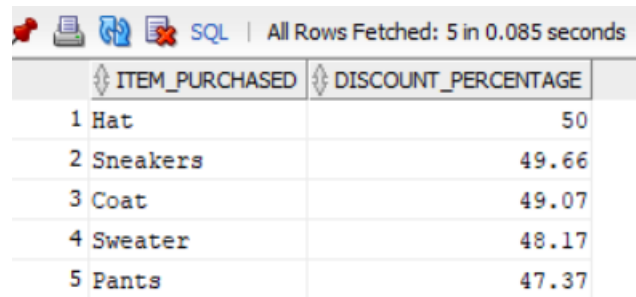
5. **Subscribers vs. Non-Subscribers** – Compared average spend and total revenue across subscription status.



A screenshot of a data table interface. At the top, there is a toolbar with icons for pinning, saving, refreshing, and deleting, followed by a text label 'SQL' and a status message 'All Rows Fetched: 2 in 0.006 seconds'. Below the toolbar is a table with four columns: 'SUBSCRIPTION_STATUS', 'TOTAL_CUSTOMERS', 'AVG_SPEND', and 'TOTAL_REVENUE'. The first row shows '1 Yes' with 1053 total customers, an average spend of 59.49, and total revenue of 62645. The second row shows '2 No' with 2847 total customers, an average spend of 59.87, and total revenue of 170436.

SUBSCRIPTION_STATUS	TOTAL_CUSTOMERS	AVG_SPEND	TOTAL_REVENUE
1 Yes	1053	59.49	62645
2 No	2847	59.87	170436

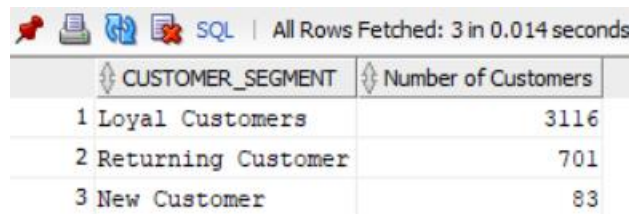
6. **Discount-Dependent Products** – Identified 5 products with the highest percentage of discounted purchases.



The screenshot shows a SQL query result with two columns: ITEM_PURCHASED and DISCOUNT_PERCENTAGE. The results are ordered by the discount percentage in descending order. The top 5 products are Hat (50%), Sneakers (49.66%), Coat (49.07%), Sweater (48.17%), and Pants (47.37%).

	ITEM_PURCHASED	DISCOUNT_PERCENTAGE
1	Hat	50
2	Sneakers	49.66
3	Coat	49.07
4	Sweater	48.17
5	Pants	47.37

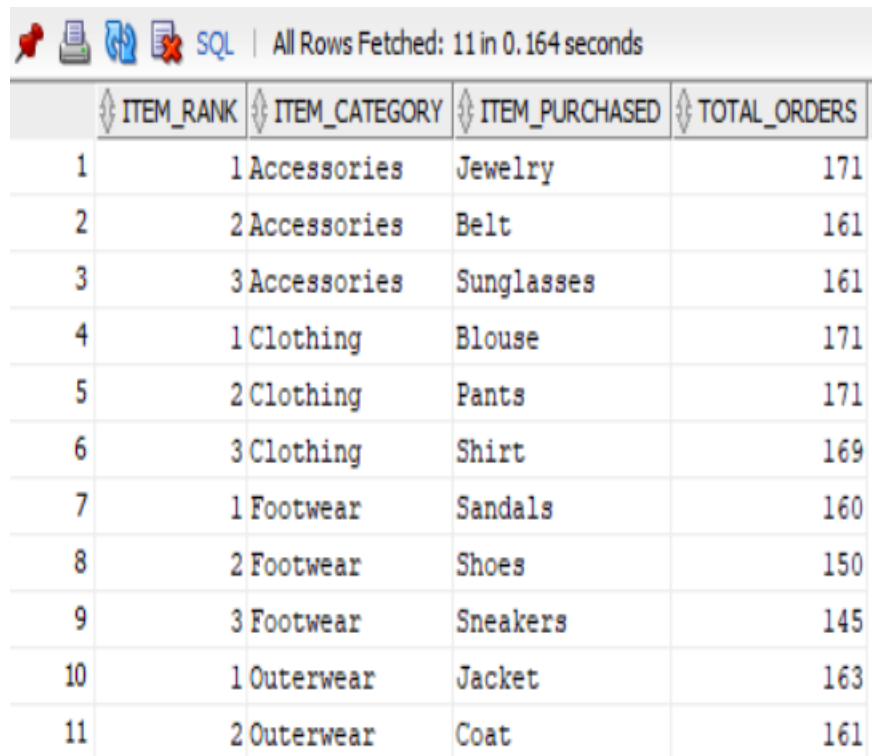
7. **Customer Segmentation** – Classified customers into New, Returning, and Loyal segments based on purchase history.



The screenshot shows a SQL query result with two columns: CUSTOMER_SEGMENT and Number of Customers. The results are ordered by the number of customers in descending order. The segments are Loyal Customers (3116), Returning Customer (701), and New Customer (83).

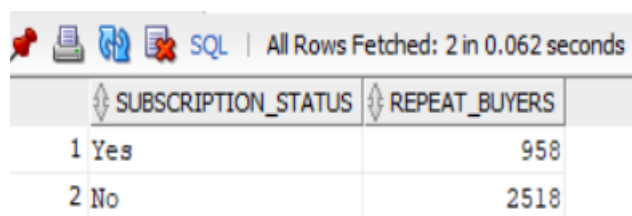
	CUSTOMER_SEGMENT	Number of Customers
1	Loyal Customers	3116
2	Returning Customer	701
3	New Customer	83

8. **Top 3 Products per Category** – Listed the most purchased products within each category.



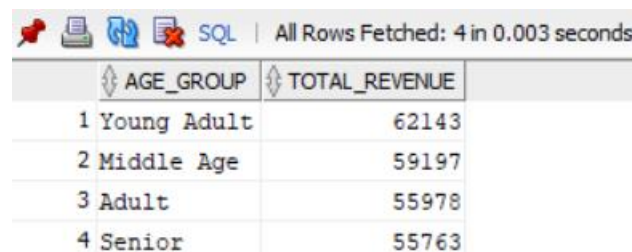
	ITEM_RANK	ITEM_CATEGORY	ITEM_PURCHASED	TOTAL_ORDERS
1	1	Accessories	Jewelry	171
2	2	Accessories	Belt	161
3	3	Accessories	Sunglasses	161
4	1	Clothing	Blouse	171
5	2	Clothing	Pants	171
6	3	Clothing	Shirt	169
7	1	Footwear	Sandals	160
8	2	Footwear	Shoes	150
9	3	Footwear	Sneakers	145
10	1	Outerwear	Jacket	163
11	2	Outerwear	Coat	161

9. **Repeat Buyers & Subscriptions** – Checked whether customers with >5 purchases are more likely to subscribe.



	SUBSCRIPTION_STATUS	REPEAT_BUYERS
1	Yes	958
2	No	2518

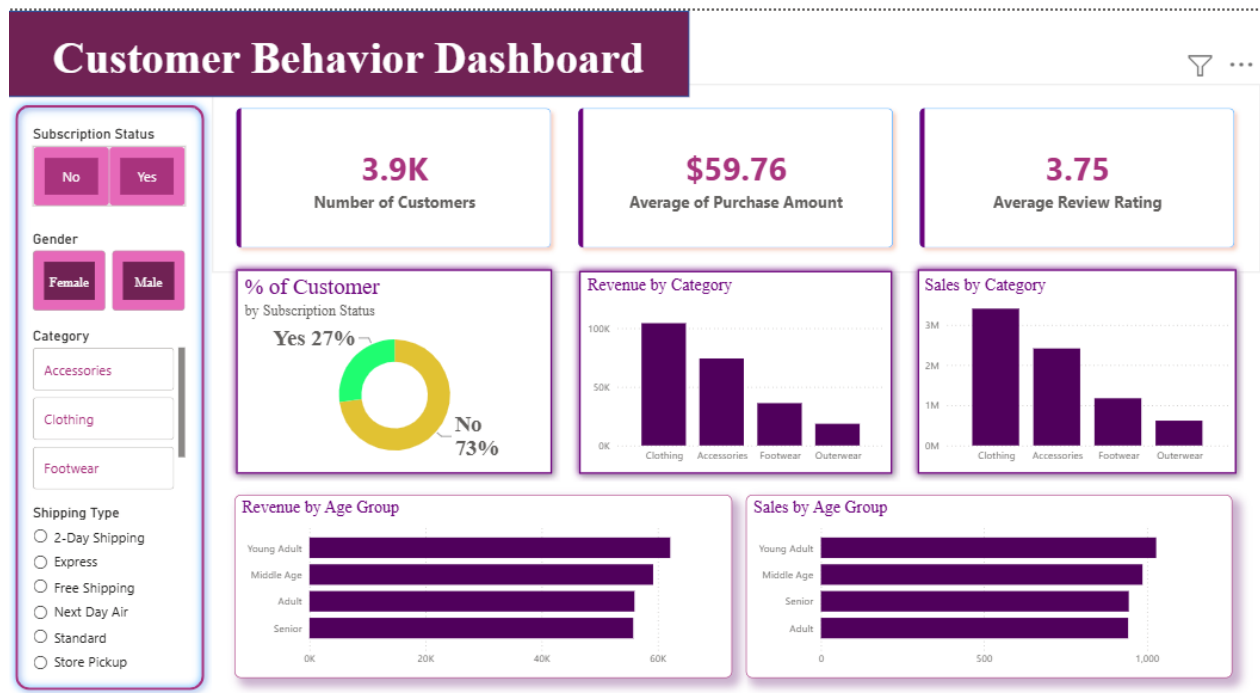
10. **Revenue by Age Group** – Calculated total revenue contribution of each age group



	AGE_GROUP	TOTAL_REVENUE
1	Young Adult	62143
2	Middle Age	59197
3	Adult	55978
4	Senior	55763

5. Dashboard in Power BI

Finally, we built an interactive dashboard in **Power BI** to present insights visually.



6. Business Recommendations

- **Boost Subscriptions** – Promote exclusive benefits for subscribers.
- **Customer Loyalty Programs** – Reward repeat buyers to move them into the “Loyal” segment.
- **Review Discount Policy** – Balance sales boosts with margin control.
- **Product Positioning** – Highlight top-rated and best-selling products in campaigns.
- **Targeted Marketing** – Focus efforts on high-revenue age groups and express-shipping users.

